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INVESTMENT CONVICTIONS

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" Our future cannot depend on the government alone..."

Joe Biden,
US President

OUR KEY CONVICTIONS

- Global markets are entering the final quarter of 2021 with a mounting number of headwinds.
- Most developed economies rebounded from the pandemic. Focus of central banks led by the US Federal Reserve is now switching to timing of a reduction in monetary stimulus. Five Central Banks have already raised interest rates.
- The post-pandemic reopening has unleashed pent-up demand and increased inflationary pressures. We expect these pressures to decelerate as the global economy gradually normalises, but this process may be delayed by rising energy prices.
- A reduction in monetary stimulus should be positive for the US dollar. We expect it to continue to appreciate versus other currencies.
- Weaker Central bank support and a normalisation of the economy should lead to higher long-term bond yields and more volatile financial markets in the coming months.
- In the context of higher volatility and inflationary pressure, diversification remains key. Gold, inflation-linked bonds and alternatives provide such diversification.

The past month has been eventful both on the economic and on the political front.

Central Banks confirm the reduction of their monetary support

On the economic front, the US Federal Reserve Bank has given more clarity about its intentions to reduce its pandemic induced support to the economy. Indeed its chairman **Jerome Powell made it clear that it will start reducing its bond purchase program in the next months** before starting to increase interest rates possibly at the end of next year. Central Banks of Norway, Brazil, Mexico, South Korea and New Zealand have already raised interest rates, and two Bank of England officials reinforced signals of an imminent rise in UK interest rates.

This is a logical step since the US and other economies have recovered from the COVID shock. Yet as we have argued in the previous edition of "Investment Convictions", a removal of financial stimulus inevitably leads to **more volatility in both Equity and Bond markets.** Over the past month we have seen some first jitters as investors are starting to adapt to this new environment.

Rapidly rising energy prices and shortages in the UK and China

Investor sentiment was also affected by **rising energy prices,** including shortages of natural gas (see chart 1) globally and gasoline in the UK. Demand for natural gas was boosted by the restoration of production capacity following the pandemic. In addition, an unusually hot summer in America and Asia increased demand for air conditioning and thus natural gas. On the other hand, other energy sources capable of generating electricity, coal, wind and hydro, saw their production decline, making natural gas all the more valuable for the continuity of power supply to the population and factories (please refer to our CIO notes from September 30th for more detail). In the UK, low energy supplies have been compounded by a shortage of lorry drivers (reportedly 100,000), partly due to the post-Brexit tightening of work constraints. This has prompted the UK government to call in the army or even prisoners to help make up the driver shortage.

Whilst demand and supply for energy will eventually balance out, it could take a few months to be resolved thus adding another short-term worry for investors, supply problems, discussed in detail in the previous edition, were indeed again a major topic for several companies. **The energy crisis has now exacerbated delivery disruptions from Asia,** as some factories in China have had their electricity supplies cut off and can no longer export as before. **These supply disruptions will likely take a toll on the economic momentum in the short term:** the consensus for US economic growth was recently reduced for the third quarter: +.5.0% year-on-year, while the same survey in August predicted growth of +6.8%.

Evergrande remains a concern for investors

Finally, investors were also concerned about the financial problems of Evergrande, a major Chinese property developer. The company came under pressure as the Chinese Financial regulator enforced tighter capital rules in order to prevent companies from taking too much debt. Whilst the Chinese government is right to call for more sensible borrowing policies, it increases the risk of bankruptcy for Evergrande, It is not clear if Evergrande can sell enough assets to repay its total USD 304 bn debt (see chart 2) or if the government will rescue Evergrande, however authorities will **most likely try to limit their impact on the economy and financial markets,** including injecting liquidity into the money markets.

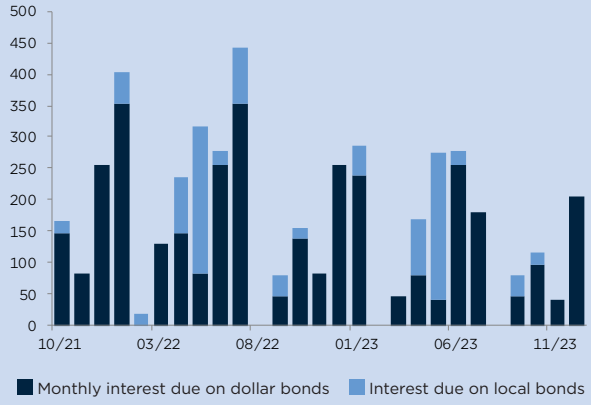
The decision on the increase in the US debt ceiling has been postponed to December

The debt ceiling is the maximum amount that the US government and federal agencies may borrow. This ceiling on the US debt was created in 1939. Since then, **the ceiling had been raised 99 times** (see chart 3),

1 Natural Gas prices, 1 month futures, in USD as of October 8th

Sources: Bloomberg, Edmond de Rothschild

2 Evergrande: monthly interest due on dollar and local bonds, in USD million



Sources: Bloomberg, Edmond de Rothschild

in most cases without much debate in Congress. An agreement on raising the current debt ceiling was **"trapped" by the political situation in Congress.**

Republicans and two moderate members of the Democratic Party estimate Biden's social plan is too expensive for public finances (USD 3.5 trn), and put the revision of this amount as a prerequisite for voting to raise the debt ceiling. Such a cut faces the opposition of the left wing of the Democratic party, which is strongly opposed to this revision. Negotiations have been postponed until December 3rd, with a temporary increase in the ceiling by then, but the end of the year should see the resumption of difficult negotiations, given the entrenched positions of the different factions.

In this environment, where should investors be positioned?

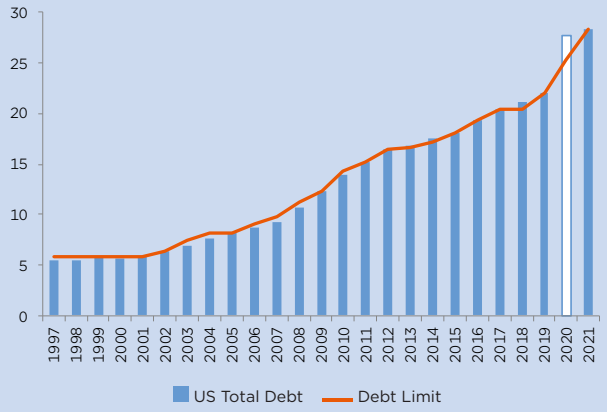
Our conviction remains that **equities will continue to outperform bonds.** However returns will be more difficult to achieve going forward. We therefore continue to invest in stocks benefiting from **growth generated by Megatrends such as the relocation of supply chains, the technological transformation of agriculture and the green revolution.**

Within Fixed Income, **government bonds are likely to continue to be under pressure** (see chart 4) as central banks will gradually remove their supportive measures, as indicated by Jerome Powell and other Central Banks. We therefore continue to be positioned in shorter maturity credits and specific pockets of fixed income such as subordinated financial debt for instance.

What does this mean for our investment strategy?

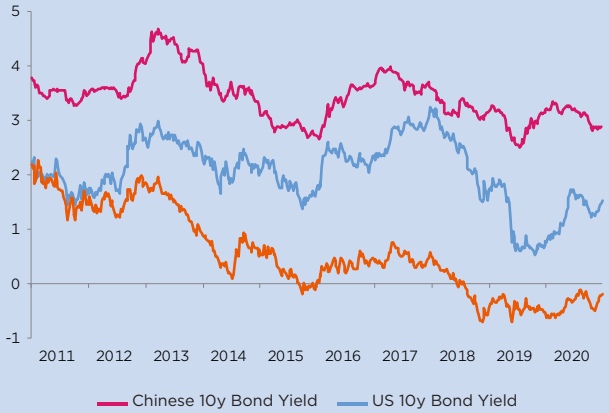
1. **In spite of the rising number of headwinds, the global economy will continue to grow. Also we believe that the reduction of monetary stimulus will be gradual. Inflation will accelerate on the back of higher energy prices, but should nevertheless stabilise after the winter months.**
2. Within Equities we continue to strategically invest in stocks benefiting from growth generated by Megatrends. Tactically, we recommend stocks of alternative energy producers and selectively energy distributors.
3. Within Fixed Income we have a preference for shorter maturity credits and specific pockets of fixed income such as subordinated financial debt.
4. Finally, we continue to recommend diversification in order to cope with the current environment of higher volatility and inflationary pressures. We keep a strategic exposure to gold and inflation-linked bonds as both asset classes constitute good hedges should inflation persist longer than expected. We also maintain an exposure to alternative assets, which are less exposed to short term volatility.

3 Total US federal debt vs. debt ceiling, in trillions of dollars
Note: in 2020, the ceiling was suspended



Sources: Edmond de Rothschild, US Senate

4 10-year rates on various government bonds, in %, as of October 8th



Sources: Bloomberg, Edmond de Rothschild

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